Of course, Carson is a real estate guy who makes a living investing in real estate and teaching others to follow him down this path. It’s natural to be skeptical when he makes things sound so simple. Listen to what Karsten “Big ERN” Jeske of *Early Retirement Now* had to say about real estate in Episode 52R. Big ERN has a Ph.D. in finance and is bullish on stocks. He said, “Real estate is a very attractive asset class in retirement because you generate inflation-protected cash flow, and if your portfolio is diversified enough it’s a reliable and predictable income stream. So if someone has a real estate portfolio and it generates, say 5 percent net rental income after subtracting costs for maintenance, repairs, property management, vacancies, and so on, and that cash flow pays for retirement expenses, then you can retire with what is effectively a 5 percent withdrawal rate. Most importantly, you never touch your principal. So that solves the problem of sequence of returns risk. So having some of our assets in real estate should be a wise move in retirement.”

Once you’ve decided to invest in real estate, you’ll need to develop a strategy for your investments. We’ve focused a lot on house hacking in this book because it ties in with other aspects of choosing FI. It is also a low-risk, beginner-friendly way to dip your toes into real estate